

Low Price 1932

U. S. Rubber Company Secured 6 ¹ / ₂ s, due 1933	.94
U. S. Rubber Company Secured 6 ¹ / ₂ s, due 1935	.43

The 1933 issue was paid at maturity, but so was the 1935 issue, which of course proved by far the better purchase.

Examples of (2):

High Price 1938

Lehigh Valley Coal Company First Refunding 5s, due 1944	.99 ⁷ / ₈
Lehigh Valley Coal Company First Refunding 5s, due 1954	.45

Interest was defaulted in January 1939, and the price of the 1944 issue collapsed to 36, versus 20 for the 1954 maturity.

Low Price 1932

Pressed Steel Car Debenture 5s, due 1933	.82
Pressed Steel Car Debenture 5s, due 1943	.40

Both defaulted on Jan. 1, 1933, and were ultimately treated alike in the reorganization.

High Price 1934

Standard Gas and Electric Debenture 6s, due 1935	.82
Standard Gas and Electric Debenture 6s, due 1951	.40

The company failed to meet the 1935 maturity. In the ensuing reorganization the various debenture issues were treated practically alike, and in 1939 they all sold at the same price.

Because of the foregoing discussion and examples we advise against the drawing of distinctions between long- and short-term issues such as